The Unemployment Rate Fell to 6.5% in January. Yet 25,000 Canadians Lost Their Jobs.

Statistics Canada's latest Jobs Report shows a decline in the unemployment rate from 6.8% in December to 6.5% in January 2026. At first sight, it might look like the economy is getting better. A lower unemployment rate usually means higher labour demand and improving economic conditions.

However, this month's decline is more complicated than it looks

A closer look at the economic indicators like the employment rate and labour force reveal that the improvement in the unemployment rate was not driven by job growth, but it was rather driven by a reduced number of people who are searching for a job.

To understand why this matters, it is essential to understand the mechanics of how the unemployment rate is calculated

The Math Behind the Drop

An unemployment rate can fall for two fundamentally different reasons:

1. More people become employed, or
2. Fewer people participate in the labour force.

January reflects the second case.

As shown in **Chart 1**, total employment actually declined slightly from December to January. Employment fell from 21,146.0 thousand to 21,121.2 thousand. Which means that 25 thousand people either lost or quit their jobs. Under normal circumstances, a decline in employment would lead to an increase in unemployment.

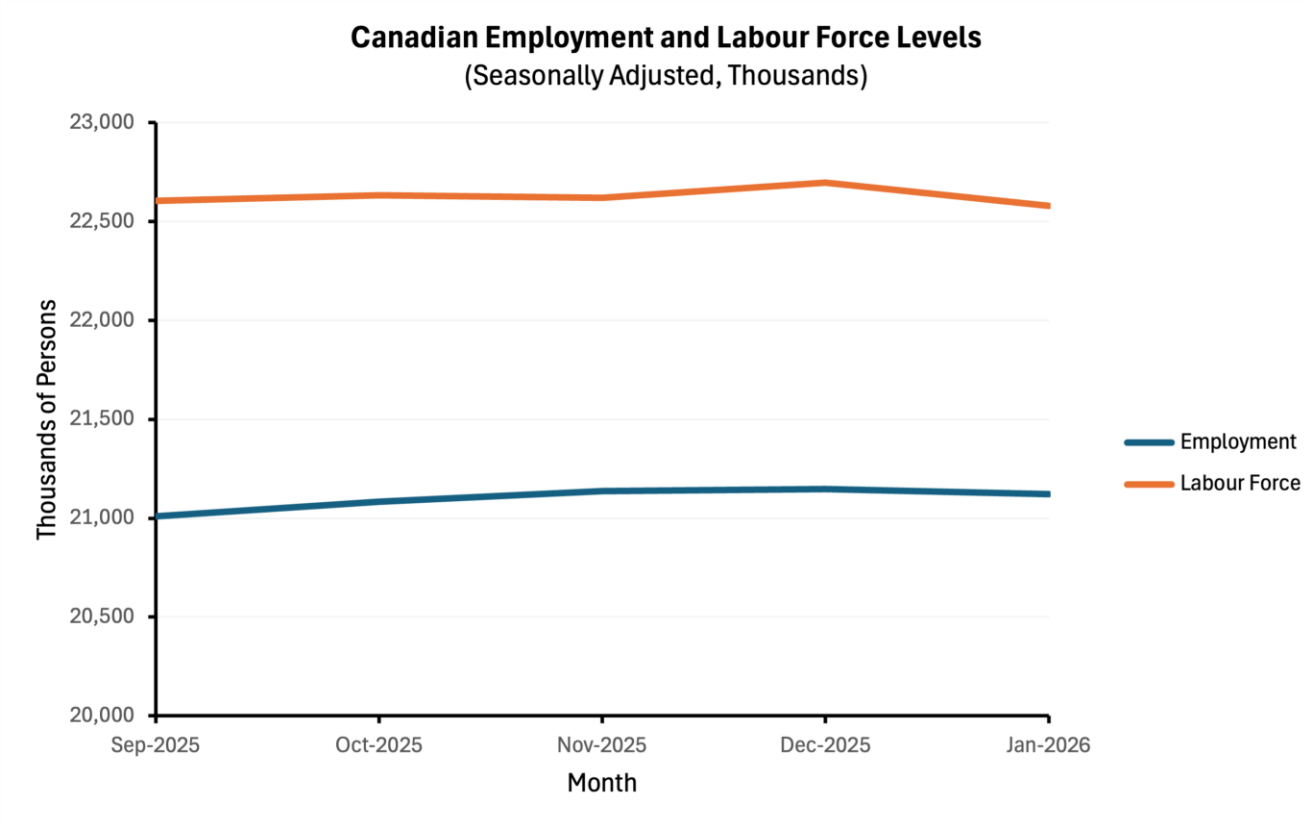
Yet unemployment fell.

The explanation lies in the labour force numbers. Over the same period, the labour force dropped significantly, from 22,697.7 thousand in December to 22,578.7 thousand in January. This decline of nearly 119,000 individuals more than accounts for the reduction in measured unemployment.

The formula used to calculate the unemployment rate:

Unemployment Rate = Unemployment/Labour Force

What this formula illustrates is that the lower the unemployment number, meaning the less people are searching for jobs, the lower the unemployment rate is going to be.

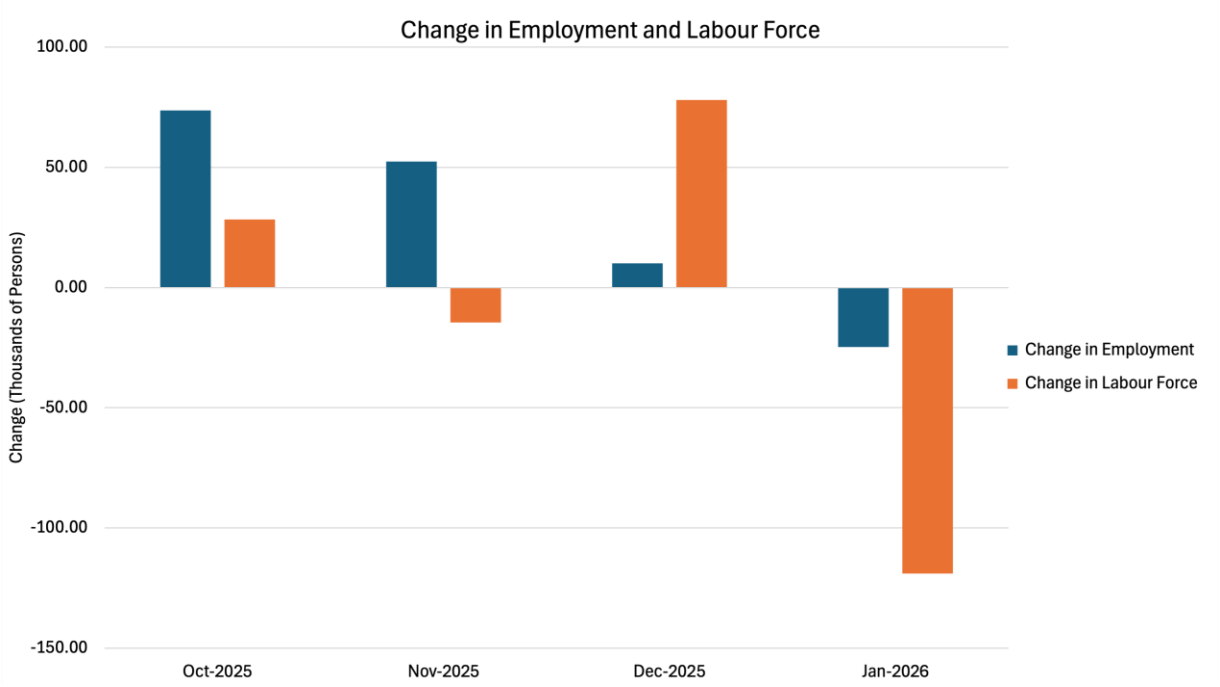


Why the Unemployment Rate Fell Despite Weaker Employment

The unemployment rate fell from 6.8% to 6.5% because unemployment itself declined from 1,551.7 thousand to 1,457.5 thousand. The issue is that it happened not because more people found a job but because a lot of people stopped searching for one. It rather looks like most people have given up looking.

When individuals stop actively searching for work, they are no longer counted as unemployed. Instead, they are categorized as “not in the labour force.” The result is the reduction in the unemployment rate.

This type of decline reflects discouragement, short-term volatility, or seasonal effects.

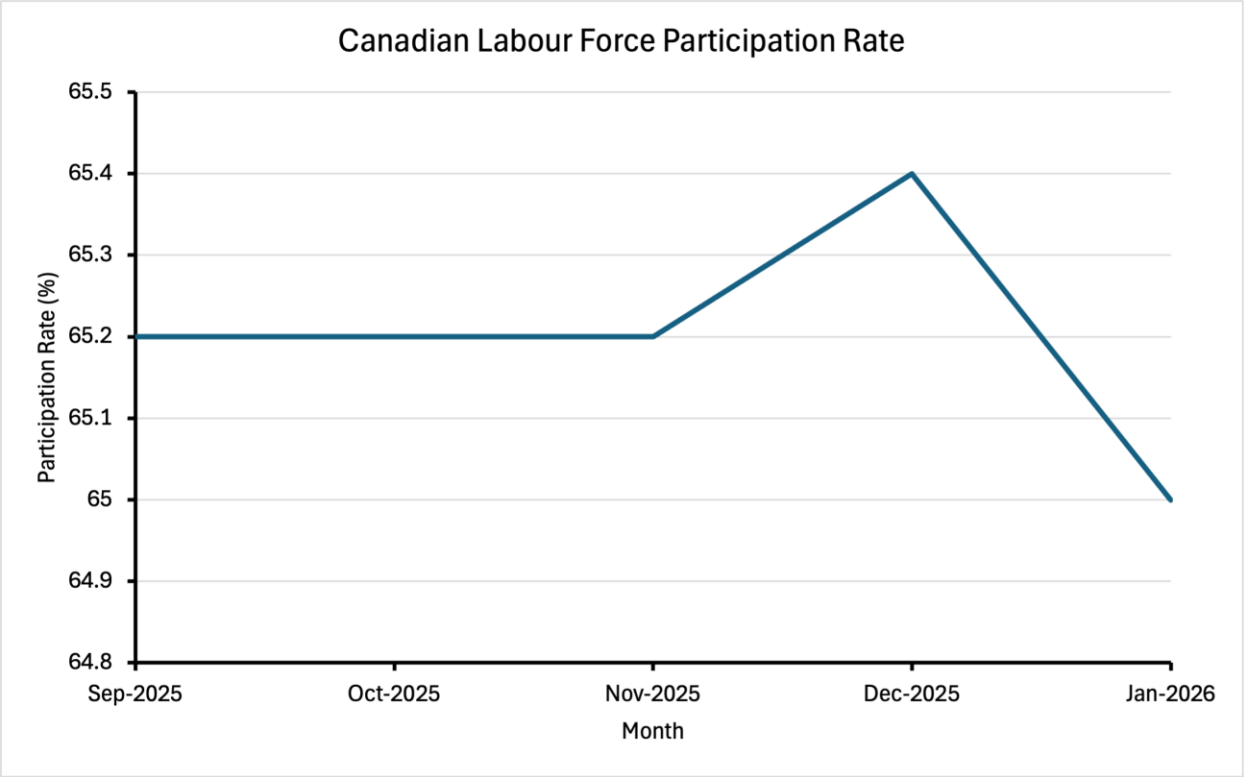


The Participation Rate: A Better Indicator of Economic Health

Further evidence supporting this interpretation can be found in the labour force participation rate.

If the unemployment rate declines due to improving job opportunities, participation usually rises or remains stable as more individuals are drawn into the workforce. However, when unemployment falls because people stop searching, participation declines.

You can see in the chart below the sudden decline in participation rate from 65.4% to 65.0%, you can also see that in the past months participation rate was consistently at the 65.2%



A Falling Rate, But Not a Stronger Market

Therefore, January's unemployment decline should be viewed with caution. The unemployment rate has dropped not because more Canadians found work, but because nearly 119,000 just stopped searching for it.

Unlike December, when both employment and participation expanded, last month showed a decline in both indicators. Employment fell modestly, but the unemployment rate improved, a statistical byproduct of a shrinking labour force, not evidence of a healthier job market.

A genuine recovery requires rising employment and stable or increasing labour force participation. January delivered neither.

The unemployment rate may have fallen, but it is important to understand the reasons behind it.